



United States
Attorney's Office
Southern District of Indiana



Indiana Laboratory Company Agrees to Pay More Than \$9 Million to Settle Alleged False Claims Act Violations

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For Immediate Release

U.S. Attorney's Office, Southern District of
Indiana

INDIANAPOLIS- Patients Choice Laboratories ("PCL"), a diagnostic laboratory headquartered in Indianapolis, Indiana, has agreed to pay the United States \$9,620,000 to resolve allegations that it violated the False Claims Act and the Anti-Kickback Statute ("AKS"). The government alleges that PCL knowingly submitted claims to Medicare for respiratory pathogen panels ("RPPs") that were either medically unnecessary or obtained through kickbacks. PCL also paid commissions to independent sales representatives and marketing firms ("1099 representatives") based on the volume or value of referrals.

Specifically, the United States alleges that on November 20, 2020, PCL entered into a Marketing Services Agreement ("MSA") with a purported infection prevention company ("the Company"), agreeing to pay \$5,000 per month in exchange for "marketing and management services" in long-term care facilities. In reality, according to the United States, the MSA served as a pretext for paying the company for laboratory test referrals, which PCL then billed to Medicare.

The United States further alleges that PCL paid the Company to perform services in long-term care facilities, including specimen collection for infectious disease testing. The Company swabbed residents for COVID-19, and PCL used the same specimens to conduct and bill Medicare for medically unnecessary RPPs. In some cases, PCL billed for RPPs without performing any COVID-19 tests at all.

Between December 1, 2020, and May 11, 2022, PCL paid the Company approximately \$1.86 million in exchange for RPP referrals. During that time, PCL billed Medicare for thousands of RPPs conducted at 43 long-term care facilities nationwide, receiving over \$6 million in reimbursement.

Additionally, from January 1 to March 31, 2021, PCL contracted with 1099 representatives to promote its laboratory tests to health care providers. The United States alleges that these individuals were not bona fide employees. PCL paid them a percentage of the revenue generated from testing they facilitated. The

representatives helped arrange referrals and orders for tests billed to Medicare in violation of the AKS. PCL's commission payments to these representatives totaled at least \$372,000.

"Kickback arrangements that drive unnecessary testing waste taxpayer dollars and undermine the integrity of our healthcare system," said Tom Wheeler, U.S. Attorney for the Southern District of Indiana. "This settlement reflects our commitment to holding accountable those who seek to profit at the expense of federal healthcare programs and the patients they serve."

"Providing impermissible compensation to induce patient referrals that then lead to medically unnecessary diagnostic tests is simply unacceptable," said Kelly O. Hayes, U.S. Attorney for the District of Maryland. "We're committed to taking the necessary actions to protect patients and taxpayer-funded government health programs."

"Wasteful spending fueled by kickback arrangements undermines the public's confidence in our health care system and depletes valuable resources that should be used to improve patient care," said Mario M. Pinto, Special Agent in Charge of the HHS-OIG Chicago Regional Office. "Working together with our law enforcement partners, HHS-OIG will continue to identify and investigate alleged violations of federal law."

"Entities who submit false Medicare claims destroy public trust in federal health care programs and divert taxpayer-funded resources away from vulnerable citizens who truly need them," said Maureen Dixon, Special Agent in Charge of the HHS-OIG. "We are unwavering in our dedication to safeguarding the integrity of the Medicare trust fund and the services provided to enrollees."

"Companies that submit false claims undermine public trust and divert critical resources away from legitimate care," said Timothy J. O'Malley, special agent in charge of the FBI Indianapolis Field Office. "The FBI will continue to work with our law enforcement and government partners to hold accountable those who seek to profit through fraud or deception."

The matter was handled by Trial Attorneys Kelly McAuliffe and Asha Natarajan of the Civil Division's Fraud Section, Assistant U.S. Attorneys Tarra DeShields, District of Maryland, and Adriana Figueroa, Southern District of Indiana, who jointly handled this case. The litigation team received investigative support from the Department of Health and Human Services, Office of the Inspector General and the Federal Bureau of Investigation.

The United States' settlement in this matter illustrates the government's emphasis on combating healthcare fraud. One of the most powerful tools in this effort is the False Claims Act. Tips and complaints from all sources about potential fraud, waste, abuse, and mismanagement, can be reported to the Department of Health and Human Services, at 800-HHS-TIPS (800-447-8477).

The claims resolved by this settlement are allegations only and there has been no determination of liability.

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